Hiring the First Sales Leader

Stage 2 Capital Playbook

What is in the workbook?

Hiring the first sales leader is a critical but challenging task for startup founders. The two most common mistakes when making this hire are:

1. ***Overweight industry experience. Under-evaluate sales leadership skills:*** Often, with minimal domain knowledge on selling, we as product founders base this hiring decision largely on the candidate's experience in our industry. However, this lens is extraordinarily insufficient. We end up with a poor sales leader from our industry. We would have been much better off with a great sales leader from outside of our industry.
2. ***Hire a leader appropriate for 10 years out versus 2 years out:*** The other common mistake we make as startup founders is hiring a leader too far beyond our current stage. Even though our goal is to scale from $5 million to $20 million over the next two years, we are pressured by our investors to hire someone that has taken a company to $100 million. By pursuing this strategy, we struggle to convince candidates to join us, over-pay for what we need, and end up with a leader that implements processes appropriate for a $100 million company into one that is at $5 million.

This workbook is intended to enable founders with minimal sales experience to successfully hire their first sales leader. The workbook guides founders through 3 steps:

#1: Role Definition → **#2: Hiring Scorecard** → **#3: Evaluation Process**

What tasks does the organization need this person to do?

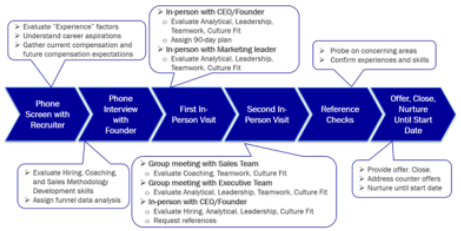
What skills and experiences should we evaluate candidates on?

First Sales Leader Scorecard

Skills Assessment

CANDIDATE SUMMARY						
Candidate Name:	Jane Doe					
Date of Interview	3/23/2020					
Interviewer:	Mary Smith					
Primary Criteria Score:	78%					
Summary of Strengths:	<Insert Strengths>					
Summary of Weaknesses:	<Insert Weaknesses>					
Next Step Recommendation:	<Insert Recommended Next Steps>					
PRIMARY CRITERIA	**Score**	**Weight**	**Weighted Score**	**Max Score**	**Comments**	
Hiring	5	9	45	90		
Coaching	7	9	63	90		
Sales Methodology Development	10	6	60	60		
Leadership	10	9	90	90		
Analytical	10	5	50	50		
Teamwork	10	7	70	70		
Culture Fit	4	7	28	70		
TOTAL			**406**	**520**		
				78%		

What are the steps in the evaluation process and how do we execute each step?



Step 1 – Role Definition: What tasks does the organization need this person to do?

To avoid the common mistakes of over-weighing industry experience and hiring for the wrong stage, we start by more deeply defining the tasks that we need our first sales leader to conduct. When defining these tasks, focus on tasks required in the next two years. If we succeed with our two-year goals, we can re-visit leadership needs, assess whether our current leader meets those needs, and, if not, level-up the role.

EXAMPLE TASK REQUIREMENTS: FIRST SALES LEADER

1. Establish an annual sales plan defining our sales hiring goals, KPIs, and the corresponding monthly revenue output
2. Codify the first sales playbook, including setting meetings, executing discovery calls, delivering product presentations, handling objections, and converting prospects to successful customers.
3. Expand the sales from a handful to dozens
4. Train new hires
5. Implement a process to test, learn, and iterate on components of the sales playbook ensure optimization
6. Develop an accurate monthly forecast for the company
7. Hire a sales operations resource to develop an initial sales tech stack to improve sales efficiency
8. Assess sales metrics and translate insight into improvements
9. Provide on-going coaching to salespeople
10. Work with functional leaders from marketing, customer success, product, and finance to properly align sales execution with the broader company goals

Step 2 – Hiring Scorecard: Based on the role definition, what skills and experiences should I evaluate the candidates on during the interview process?

With a detailed definition of the tasks for this role, we can now translate the tasks into required criteria we will evaluate candidates on. Organize the criteria into Experience vs. Skills. Take time to agree on detailed definitions of each criteria as well clear direction on what a strong, mediocre, and poor assessment looks like. An example scorecard is shown below:

DOWNLOAD FIRST SALES LEADER SCORECARD

First Sales Leader Scorecard
Skills Assessment

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Commonly used criteria, with corresponding definitions, for both the "skills" and "experience" categories are as follows.

Common "Skills" to Evaluate First Sales Leader Candidates On

Skill	Skill Definition	Scoring Model
Hiring	Develops and executes data-driven process to source, evaluate, and win optimal talent for our sales team.	[8-10] Optimizes ideal salesperson role based on our specific company context. Translates role into hiring criteria and executes consistent interviewing process to evaluate candidates based on qualitative and quantitative metrics. Proactively sources candidates. Understands candidate career aspiration and "sells" them on the role. [4-7] Utilizes an assessment process but struggles to adapt it to our company context. However, process is reasonably aligned with our needs. Some evidence of proactive candidate sourcing. [1-3] Hires solely on rolodex. Has a "know a good candidate when I see one" hiring mentality. Primarily hires on experience with the buyer and industry. Relies on passive candidate sourcing like recruiters and job ads. Fails to understand candidate career aspirations.
Coaching	Develops and executes data-driven process to diagnose skill deficiencies, customize coaching plans, and demonstrate improvements in sales performance.	[8-10] Uses a data-driven model to diagnose coaching needs and devise coaching plans. Continually develops all salespeople, not just under-performers. Evidence of developing salespeople to higher productivity and, in some cases, leadership ability. Empowers sellers to own their development. [4-7] Executes a coaching model but based on only qualitative, "gut-oriented" insights. Focuses on under-performers more than top performers. Coaches through "telling" versus "asking". [1-3] Doesn't see value in coaching. When salespeople under-perform, instructs them to invite manager to their sales meetings so they can do their job for them.
Sales Methodology Development	Codifies, tests, and implements a repeatable process to set meetings, execute discovery calls, deliver product presentations, handle objections, and convert	[8-10] Adapts past sales methodologies to our specific context. Designs a consultative model that emphasizes understanding the buyer's perspective before deciding if and how to present the product. Aligns selling strategies with the stage of the buyer in their journey. Defines stage gates based on buyer versus seller action. Customizes tactics to the various personas involved in the decision-making unit. Tests sales playbook hypothesis to ensure optimization.

Skill	Skill Definition	Scoring Model
	prospects to successful customers.	[4-7] Leans on sales playbook from past experiences and struggles to adapt to our context. However, the playbook is a reasonable fit for us. Doesn't naturally set up process to test and optimize the playbook. [1-3] Views sales methodology as providing a salesperson with a territory, quota, and a pitch deck.
Leadership	Motivates the team to high performance. Manages conflict effectively. Holds the team accountable.	[8-10] Charismatic. Energizes sellers to work hard and smart. Gets the team's buy-in on tough changes. Develops a positive team environment where sellers collaborate and solve for the company. Let s sellers express their side in times of conflict. Solves conflict with the company's needs in mind and explains reasoning clearly. [4-7] Uses a command and control style, telling sellers what to do with minimal empowerment on their end. Team is siloed rather than collaborative. Solves conflict with the team's needs ahead of the company's needs. [1-3] Low energy. Indecisive. Solves for self. Let's sellers solve for themselves. Fosters cut-throat, individualistic culture.
Analytical	Uses data and repeatable process to set goals, assess progress, and accurately forecast outcomes.	[8-10] Pursues accurate data to understand sales team performance, diagnose issues, and accurately forecast outcomes. Translates broad data sets into insights and action. Balances qualitative and quantitative observations to make decisions. Consistently forecasts within 10% accuracy. [4-7] Wants the numbers but struggles to interpret them accurately. Leans on qualitative observations to drive decisions and forecasts. Consistently forecasts between 10% and 30% accuracy. [1-3] Resistant to the numbers. Doesn't see the value in them. Relies on gut for decision making and forecasts. Consistently forecasts with less than 30% accuracy.
Teamwork	Respected inside and outside the organization. Problem solves with colleagues/clients and handles conflict appropriately.	[8-10] Consistently works well with colleagues to solve key business problems. Fair minded, calm and respectful when handling conflict with peers or customers. Creates a strong sense of teamwork and camaraderie, not only within their team, but with colleagues. [4-7] Sees key decisions primarily through the lens of sales rather than the broader company. Debates and argues with peer leaders when faced with cross-functional decisions and process design. [1-3] Sales is the only thing that matters and everyone should follow suit. Personally insults colleagues when in conflict.

Skill	Skill Definition	Scoring Model
Culture Fit	Intellectually curious. Consistently refining how to be best in class in industry. History of high integrity behavior with peers and customers. High emotional intelligence.	[8-10] Sets high professional and personal goals, seeks out both internal and external benchmarks. Takes responsibility for revenue performance, looks for solutions instead of giving excuses. Demonstrates honesty, transparency and immediacy in all interactions. Keeps confidences and exhibits discretion. Consistently does what needs to be done when it needs to be done. [4-7] Looks for direction but is not necessarily proactive. Tendency to over-plan and under-execute. [1-3] Sees job as a paycheck and nuisance. Blames others. Holds back information. Political.

Common "Experiences" to Evaluate First Sales Leader Candidates On

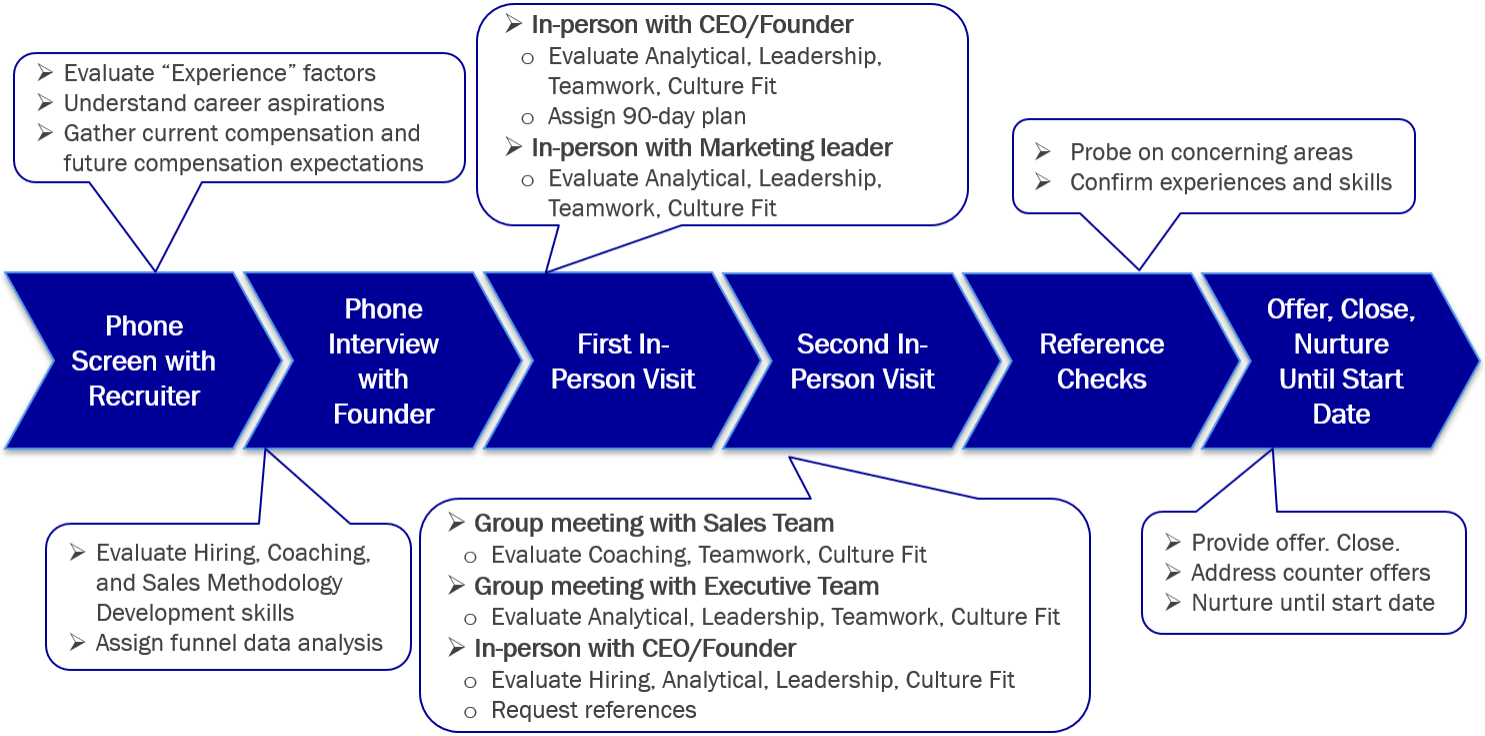
Experience Category	Experience Definition	Experience Assessment Example
Tenure as Individual Contributor	Years as a quota carrying seller	"5 years in quota carrying sales roles"
Tenure as Sales Leader	Years managing quota carrying sellers	"2.5 years in sales leadership roles"
Hiring Salespeople	Number of quota-carrying salespeople hired in career	"Hired 27 quota carrying salespeople across career"
Management	Largest sales team managed	"Maximum of 8 sellers managed at any time"
Quota Achievement	Performance against goal	2019- 110% 2018 – 92% 2017 – 104% 2016 – 89%
Hiring Sales Operations	Number of sales operations people hired	"Hired 2 sales operations people across career"
Sales Methodology Development	Number of times developing a sales playbook	"Designed and implemented a sales playbook once in their career."

Experience Category	Experience Definition	Experience Assessment Example
Industry	Years selling to companies in our target industry, either as an individual contributor or a leader	"2 years selling into health care" "3 years selling into financial services"
Price Point	Years selling a product of similar price point to ours, either as an individual contributor or a leader	"4 years selling a product priced between $10K and $50K" "2 years selling a product priced between $300K and $1M"
Value Proposition	Years selling a product of similar value proposition as ours, either as an individual contributor or a leader	"2 years selling a security-enhancing product" "4 years selling a back-office efficiency product"
Buyer Persona	Years selling to buyer roles similar to ours, either as an individual contributor or a leader	"1 year selling to CMOs" "5 years selling to IT managers"
Channels	Years selling to through sales channels similar to ours, either as an individual contributor or a leader	"3 years selling through a full-cycle inside sales team" "1 year selling through an outside sales team" "2 years selling through partners"
Size	Years in sales leadership role in a company with a top line revenue amount in the range of our current revenue and where we aim to be in three years	"3 years in companies with between $5M and $20M in revenue"

Step 3 – Evaluation Process: What are the steps in the evaluation process and how do we execute each step?

With the evaluation criteria clearly defined, we can now design a detailed evaluation process. The evaluation process includes the high-level steps in the overall assessment process, the people involved, and suggested questions in each step. An example of an evaluation process is below.

Example interview process for the first sales leadership hire:



Phone screen by Recruiter:

Step	Sample Questions
Thanks, welcome, and introductions	
Understand candidate career aspirations	1. What piqued your interest in our company and this role? 2. Where do you hope to be in your career in 5 years?
Validate "Experience" information on resume	Based on your resume, it looks like you have: 1. 6 years in individual quota carrying roles 2. 2 years in sales leadership roles 3. 4 years of experience selling into [insert our industry] 4. And 3 years selling to [insert our buyer persona] Is this correct?
Evaluate additional "Experience"	1. How many salespeople have you hired in your career? Can you walk me through how many that you hired ended up leaving your team and why? 2. What is the largest team you have managed? Is that only quota-carrying sellers or other roles too? 3. Have you ever hired a sales operations person? What was their specific role and how did the hire perform? 4. In which roles were you selling a product similar to our value proposition? 5. As you may know, our product price is between [insert our product price range] and is sold through [insert our sales channel(s)]. Can you indicate which experiences where you sold similarly priced products through similar channels?
Request other "Experience" information	Can you send me the following information before our next interview? 1. Your achievement against goal over the last 5 years 2. Any sales playbooks you developed in past roles
Ask for questions	Do you have questions about our company or the role that I can answer?
Ask about interest (if continuing)	Based on our discussion, are you interested in moving forward?
Schedule and explain next steps (if continuing)	

Phone screen by CEO/Founder:

Step	Sample Questions
Thanks, welcome, and introductions	
Understand candidate career aspirations	It looks like you have experience in x, y and z. What's the next perfect opportunity for you look like?
Clarify any questions on "Experience"	1. How is the value proposition of [Company X] product similar to our value proposition? 2. At [Company Y], you managed an inside sales team. Were you primarily selling to marketing generated leads or cold calling for your own appointments? 3. When you started in this role, what 3 initiatives did you prioritize to hit your revenue goal? Why?
Evaluate "Hiring"	1. What are the top 3 characteristics you would look for in a salesperson for our company? Are these attributes the same or different from your past companies? Why? 2. How do you evaluate candidates for these characteristics? 3. Is your 1st hire different than your 10th? If so, how and why?
Evaluate "Sales Methodology Development"	I reviewed the sales methodology that you developed in the past. Would you change the process for our company? If so, how and why?
Evaluate "Coaching"	1. What is the top sales skill deficiency you see in new hires? Tell me about a time a salesperson on your team had that deficiency. How did you coach them through it? What was the outcome? 2. What are the best practices in delivering feedback to your team?
Ask for questions	Do you have any questions for me?
Ask about interest (if continuing)	Based on our discussion, are you interested in moving forward?
Explain next steps (if continuing)	We will coordinate schedules for a visit to the office to meet me and [marketing leader]. In the meantime, I will send you our sales funnel metrics, both in aggregate and by salesperson. Before our next interview, can you review the metrics and prepare any observations from them? Thanks.

In-person with CEO/Founder:

Step	Sample Questions
Thanks, welcome, and introductions	
Questions	Did any questions come up since our phone call?
Evaluate "Analytical"	1. What insights did you draw from the sales metrics I sent you? 2. What actions do you recommend based on your insights? 3. What is your diagnosis of each salesperson's performance?
Evaluate "Leadership"	1. Tell me about a typical week. What are the major buckets of activities you spend time on? 2. What is the most difficult change you had to implement on your team? Walk me through what you did? 3. Tell me about a time when you missed your quota? What did you do?
Evaluate "Teamwork"	1. How did you work with product in your last company? 2. Tell me about a disagreement you had with your CFO. How did you handle it?
Evaluate "Culture Fit"	1. What is a personal goal you have right now? What steps have you taken to achieve it? 2. Have you ever had a salesperson do something that was unethical? How did you handle it?
Next Steps	1. I would like you to send me a 90-day plan if you are hired into this role before our next interview 2. Introduce marketing person for interview

In-person with Marketer:

Step	Sample Questions
Thanks, welcome, and introductions	
Evaluate "Teamwork"	1. How was the marketing team at your last company? 2. What is one improvement you wish they took on? How did you communicate that? 3. What strategies do you recommend to align sales and marketing?
Evaluate "Leadership"	1. Tell me about a time your team was behind pace to quota. What did you do? 2. What did marketing do? What do you wish they did?
Evaluate "Culture Fit"	Sometimes marketing and sales disagree about priorities. Tell me about a time you disagreed with your marketing partner in the past and how you resolved it.
Evaluate "Analytical"	How should marketing be measured?
Questions	Do you have any questions for me?
Next Steps	

In-person with Sales Team (CEO/Founder observes):

Step	Sample Questions
Thanks, welcome, and introductions	
Evaluate "Teamwork"	1. Can you explain our cadence of working together? How often will we meet one-on-one? How often will we meet as a team? What will we cover in both cases?
Evaluate "Coaching"	1. I am having trouble with [insert common sales objection]. Do you have any advice for me? 2. I want to grow in my career. Will you help me with that? 3. What do you look for in a sales manager? Do you think any of us could develop into one?
Questions	Do you have any questions for us?

In-person with Executive Team:

Step	Sample Questions
Thanks, welcome, and introductions	
Evaluate "Analytical"	Can you walk us through the 90-day plan you prepared for today?
Evaluate "Leadership"	1. Our sales team is great. However, sometimes they complain about being over-worked and under-paid. Has that happened to you in the past? How did you handle it? 2. Tell us about a time you missed quota. What did you do? How did you explain it to your boss?
Evaluate "Teamwork"	How often should we meet as a leadership team? What should we cover?
Evaluate "Culture Fit"	Tell us about your last culture. What did you like about it? What did you dislike about it?
Questions	Do you have any questions for us?

2nd In-person with CEO/Founder:

Step	Sample Questions
Reflections	1. What did you think of the sales team? Did you get the sense that any of them won't succeed here? 2. What did you think of the leadership team?
Evaluate "Analytical"	1. Based on your 90-day plan, what revenue target do you think we can get to by end of year? How many sales hires does that translate into? 2. What other investments do we need to make to hit that target?
Evaluate "Hiring"	1. Tell me about the best sales hire you ever made? How did you recruit them? 2. Have you ever recruited a candidate that wasn't in the job market? Can you walk me through the process?
Evaluate "Culture Fit"	1. In your last review, what was the primary area of improvement? What actions have you taken since? 2. Tell me about a time you and your manager/CEO disagreed and how you resolved it.
Evaluate "Leadership"	What will your references say about you?
Questions	Do you have any final questions for me?
Next stops (if continuing)	Can you provide me with 3 references?
Soft Close (if applicable)	If we make an offer, will you accept it?

Reference Checks by CEO/Founder:

Step	Sample Questions
Thanks. Welcome. Introductions.	
Background with Candidate	Can you explain in what capacity did you work with the candidate?
Evaluate "Leadership"	What would the candidate's team and subordinates say about her/him? How would they describe her/him?
Confirm weaknesses	We are looking for the following attributes in our sales leader: 1. Analytical 2. Coaching ability 3. Teamwork 4. Hiring Skills Can you rank the candidate from strongest to weakest with regard to these attributes? Can you explain the rankings?
Open-ended	1. Is there anything you want to say about the candidate that I didn't ask about? 2. Would you hire them again?
Offer help	I really appreciate your time. Is there anything I can do for you?

ABOUT STAGE 2 CAPITAL

STAGE 2 CAPITAL

Stage 2 Capital is the first venture capital fund run and backed by go-to-market leaders. Over 100 sales, marketing, and customer success leaders from over 50 software unicorns are behind Stage 2 Capital. The fund specializes in investing in early stage ventures and supporting them with go-to-market design.

ABOUT THE AUTHORS

Mandy Cole is a Partner at Stage 2 Capital. She is a sales leader specializing in “Series-A-to-Scale”, having worked directly for 5 founder CEOs at this stage and hiring hundreds of sales leaders and leading thousands of sales professionals through the scale journey. These experiences include LivingSocial ($20MM-$750MM, 40-1,000 FTE), MyNewPlace ($0-$20MM, 60 FTE), Main Street Hub ($2MM-$10MM, 20-250 reps in 1 year) and Zenefits (built largest SDR team in North America averaging 16 qualified opportunities per rep a month). Mandy has been featured in *Business Insider*, *Street Fight*, *Austin Business Journal*, *CB Insights* and the podcast *Breaking into Startups.* In addition to Stage 2 Capital, Mandy is the founder of RiSE Accelerator. She is a graduate of UNC-Chapel Hill.

Mark Roberge is Managing Director at Stage 2 Capital. He is also a Senior Lecturer at the Harvard Business School. Prior to these roles, Mark served as Chief Revenue Officer at HubSpot (NYSE: HUBS) where he scaled annualized revenue from $0 to $100 million. Mark was ranked #19 in Forbes' Top 30 Social Sellers in the World. He was also awarded the 2010 Salesperson of the Year at the MIT Sales Conference. Mark received his MBA from MIT. He has been featured in the Wall Street Journal, Forbes Magazine, Inc. Magazine, Boston Globe, TechCrunch, Harvard Business Review, and other major publications for his entrepreneurial ventures. Mark is the author of the bestselling book The Sales Acceleration Formula: Using Data, Technology, and Inbound Selling to go from $0 to $100 Million.